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CASE #	CASE NAME	HEARING NAME
CVRI2305035	MICHAEL VS WESTCOR LAND TITLE INSURANCE	MOTION FOR SUMMARY JUDGMENT ON CROSS-COMPLAINT OF CALIBER HOME LOANS

Tentative Ruling:

The unopposed motion for summary judgment is granted.

Defendant Caliber met its initial burden, and, once the burden shifted to Plaintiffs, they failed to controvert Caliber's showing as the motion is unopposed.

A defendant moving for summary judgment meets its initial burden by showing either (1) that a cause of action lacks merit because one or more elements of the cause of action cannot be established or (2) there is a complete defense to that cause of action. (Code Civ. Proc., §437c, subd. (p)(2).) Here, Caliber succeeds in both. It first meets its burden by showing that it has a complete defense to Plaintiffs' negligence action because the claim is barred by the economic loss rule. Caliber also demonstrates that Plaintiffs cannot establish the causation element of their causes of action because no action by Caliber, in regard to its refinancing of Plaintiffs' primary mortgage, caused damages to Plaintiffs.

Once the burden shifted to Plaintiffs to show that a triable issue of one or more material facts exists as to the essential elements of their causes of action, or the complete defense of economic loss rule, they fail to do so.

a. Negligence.

i. Element of causation

Caliber argues that Plaintiff's first and second causes of action for negligence and negligent misrepresentation, respectively, fail because Plaintiffs cannot establish any damages caused by Caliber and are collaterally estopped from relitigating the causation issue. Caliber argues that no actions by Caliber could have been the substantial factor in causing harm to Plaintiff because the foreclosure activity by Westcoast arises from Plaintiffs' own default on their obligations under the 2006 HELOC that predated the 2022 refinance of their primary mortgage through Caliber. Here, Caliber meets its initial burden of production to negate the essential element of causation.

First, though, Caliber fails in its argument that Plaintiffs' are collaterally estopped from asserting a claim of negligence against Caliber on the ground that the Court has granted Co-Defendant Timios summary judgment on the same issue. Under California law, in order for collateral estoppel to apply the following must be met: (1) the issued decided in the prior adjudication was identical with the one presented in the action in question; (2) the issued was actually litigated in the prior proceeding and there was a final judgment on the merits; and (3) the party against whom preclusion is sought is the same as, or in privity with, the party in the former proceeding. (*Lumpkin v. Jordan* (1996) 49 Cal.App.4th 1223, 1230.) Simply put, Caliber presents no evidence to satisfy the third factor that it was in privity with Timios to succeed on the defense of collateral estoppel.

Caliber presents evidence negating the causation element of Plaintiffs' negligence claim. In a negligence action, the injured person must establish the following: (1) the existence of a duty on the part of the defendant to use due care; (2) a breach of this legal duty; and (3) the breach as the proximate or legal cause of the resulting injury. (*U.S. Liab. Ins. Co. v. Haidinger-Hayes, Inc.* (1970) 1 Cal.3d 586, 594.) "Legal cause" exists if the actor's conduct is a 'substantial factor' in bringing about the harm and there is no rule of law relieving the actor from liability." (*Nola M. v. University of Southern California* (1993) 16 Cal.App.4th 421, 427, citing Rest.2d Torts, §431.) For

instance, “where the actor’s tortious conduct consists in a failure to take some precautions which are required for the protection of another’s person...[,] if the same harm, both in character and extent, would have been sustained even had the actor taken the required precautions, his failure to do so is not even a perceptible factor in bringing it about and cannot be a substantial factor in producing it.” (*Id.* at 433, citing *Lopez v. McDonald’s Corp.* (1987) 193 Cal.App.3d 495, 515-516.)

Plaintiffs allege that Caliber, under the standard of due care, should have known that the HELOC, if valid, should not have been removed from the title report as an encumbrance upon the Subject Property. (SAC, ¶ 28.) Plaintiffs allege that Caliber’s alleged negligence was a substantial factor in causing Plaintiff’s harm because Plaintiffs would not have refinanced the subject property had the disclosure been explained to them that the HELOC would remain as a lien of record as required. (SAC, ¶ 33.) In other words, they are alleging that, had Caliber correctly informed Plaintiffs that the HELOC remained as a valid lien on title, they would not have refinanced the primary mortgage through Caliber, and would not be faced with a foreclosure by Westcoast. However, facts are undisputed that the preliminary report issued during the refinance transaction revealed that, as of January 31, 2022, the HELOC deed of trust for \$172,000 remained as a lien upon title to the Subject Property. (Caliber’s Separate Statement of Undisputed Facts [“UMF”] No. 7.) Plaintiffs concede the balance due on the HELOC was never paid off; they merely claim that Kelli Michael received an IRS form 1099-C Cancellation of Debt dated January 28, 2012. Any action or omission by Caliber could not have substantively caused any damages to Plaintiffs as a result of Westcoast’s foreclosure. Even if Plaintiffs had never moved forward with the refinancing of their primary mortgage, the HELOC would still remain on title as a lien upon the property and subject to foreclosure by the present beneficiary, West Coast.

Once the burden shifted to Plaintiffs, they offer no controverting evidence to demonstrate otherwise because the motion is unopposed.

ii. Economic loss rule.

Caliber also succeeds in its assertion that the negligence claim is barred by the economic loss rule as a complete defense pursuant to the California Supreme Court case of *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905 (Sheen). Under the economic loss rule, in an action for negligence for purely economic losses, as in this case, duty to guard against such losses may only arise where there is a special relationship between the plaintiff and defendant. (*Southern California Gas Leak Cases* (2019) 7 Cal.5th 391, 403.) The existence of a duty is entirely a question of law. (*Ballard v. Uribe* (1986) 41 Cal.3d 564, 572, fn. 6, citing 4 Witkin Summary of Cal. Law (8th ed. 1974) Torts, §493, p. 2756.)

Courts have used the term “special relationship” to refer to a relationship where “the plaintiff was an intended beneficiary of a particular transaction but was harmed by the defendant’s negligence in carrying it out.” (*J’Aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 803-804 [held a business tenant may recover purely economic losses resulting from negligence of a contractor hired by the landlord which delayed construction of property causing the tenant to lose business]; *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650 [held a beneficiary of a will may recover for negligence by a notary’s failure to properly draft the will].) The California Supreme Court in *Sheen, supra*, 12 Cal.5th 905 held that, where the parties are in contractual privity, as it is the case herein, a duty cannot be found based upon the parties’ special relationship because such relationship would always be present in a contractual relationship. (*Id.* at 923.) Rather in such situation, the “strand of the economic loss rule” referred to as the “contractual economic loss rule” applies. It is undisputed Caliber’s dealings with Plaintiff are based on the contractual privity under the refinance transaction and the 2022 deed of trust. (UMF No. 19.)

Under this strand of the economic loss rule, “[a] person may not ordinarily recover in tort for the breach of duties that merely restate contractual obligations.” (*Stop Loss Ins. Brokers, Inc. v.*

Brown & Toland Medical Group (2006) 143 Cal.App.4th 1036, 1041, internal quotations omitted.) In order to seek tort damages, there must be a duty that gives rise to tort liability is completely independent of the contract or arises from conduct which is both intentional and intended to harm.” (*Erlich v. Menezes* (1999) 21 Cal.4th 543, 551-552.) Here, as Caliber asserts, its duties were solely defined by its contractual relationship with Plaintiffs in the origination, underwriting, and processing the refinance loan. Any action taken by the lender in its underwriting efforts to determine borrower’s creditworthiness and ability to repay the loan are for the lender’s protection, not the borrower’s. (*Perlas v. GMAC Mortgage, LLC* (2010) 187 Cal.App.4th 429, 436.) Therefore, under its role as a lender of mortgage loan, Caliber had no additional duty to make assurances to Plaintiffs that a prior HELOC lien appearing on title was satisfied or released before deciding to originate the refinance loan. In the loan origination context, as a general rule, a financial institution owes no duty of care to a borrower when the institution’s involvement in the loan transaction does not exceed the scope of its conventional role as a mere lender of money.” (*Nymark v. Heart Fed. Savings & Loan Assn.* (1991) 231 Cal.App.3d 1089, 1095-1096 (Nymark) [lender had no duty of care to borrower in preparation of property appraisal in the usual course and scope of its loan processing procedure].) Hence, as provided by *Sheen, supra*, the economic loss rule stands as a bar to Plaintiffs’ negligence claim.

Once the burden shifted to Plaintiffs, they offer no controverting evidence to demonstrate otherwise because the motion is unopposed.

b. *Negligent misrepresentation.*

Caliber succeeds in showing that Plaintiffs cannot establish the critical element of justifiable reliance of their negligent misrepresentation claim, and Plaintiffs fail to controvert this showing.

The elements of negligent misrepresentation are (1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another’s reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage. (*Apollo Capital Fund LLC v. Roth Capital Partners, LLC* (2007) 158 Cal.App.4th 226, 243 [internal citation omitted]).

Plaintiffs allege that, February 2022 through June 2022, Caliber misrepresented material information in that “the HELOC was removed as a lien of record on title to the Subject Property,” upon which they justifiably relied in moving forward with the refinance transaction. (SAC, ¶¶ 37, 39.) They allege that this representation was made by Caliber with the intent and purpose to induce Plaintiffs into completing the refinance. (SAC, ¶ 41.) Here, Caliber argues that Plaintiffs cannot establish the essential element of justifiable reliance on any false statement as Caliber made no representation that the HELOC had been located, released, or extinguished. “[F]or a cause of action for negligent misrepresentation...a representation is an essential element.” (*Byrum v. Brand* (1990) 219 Cal.App.3d 926, 942.)

In support of its argument, Caliber relies on the fact that it did not issue the preliminary title report or the title policy, which was in fact issued by Timios and Westcor at the time of closing of the refinance loan. It also argues that, preliminary title report cannot be relied upon as a representation of title condition because it functioned only as an underwriting tool in anticipation of issuing a lender’s title insurance policy to Caliber and was not intended to confer any benefit upon the borrowers, nor was it prepared for their use, reliance, or protection. (UMF Nos. 3, 4.) Caliber demonstrates that it made no representation of title regarding the removal of the HELOC but the decision to remove it from the title report and eventually the title policy issued at closing was made by Timios after it received from Plaintiff Kelli Michael an IRS Form 1099-C Cancellation of Debt, dated January 28, 2012 and addressed to Plaintiff Kelli Michael in the amount of \$171,999.99. (UMF No. 17.) This assertion is based an email dated a May 26, 2022, in which Caliber’s employee Shane Hale, after noting that the HELOC did not appear on credit report as

closed, inquired Timios whether the HELOC was paid off. Plaintiff Kelli Michael was copied on that email and replied to Shane Hale stating: “Email from Title show they remove the lien.” (UMF No. 16.) Timios also replied to that email stating: “We received a cancellation of debt from Keli and my title team made the decision to remove it.” (UMF No. 17.)

Here, Caliber sufficiently shows it made no representation of title regarding the HELOC and that any reliance by Plaintiffs were not justified. It has been held that one’s “hopeful expectations” do not constitute justifiable reliance. (*Kruse v. Bank of America* (1988) 202 Cal.App.3d 38, 54-55 [borrower’s hopeful expectation that lender would later grant a long-term loan was not sufficient evidence to establish the element of justifiable reliance].) “[A] party plaintiff’s misguided belief or guileless action in relying on a statement on which no reasonable person would rely is not justifiable reliance.” (*Ibid.*) Here, Plaintiffs’ hopeful expectation that elimination of the HELOC lien as an exception in a title report constitutes a release of encumbrance from the property cannot amount to the necessary justifiable reliance.

Once the burden shifted, Plaintiffs fail to present controverting evidence raising a triable issue regarding the essential elements of their claim for negligent misrepresentation because the motion is unopposed.

c. Declaratory relief.

As Caliber argues, the declaratory relief cause of action is derivative of the causes of action for negligence and negligent misrepresentation as Plaintiffs allege no other facts in support of their declaratory relief cause of action. “[A] request for declaratory relief will not create a cause of action that otherwise does not exist, [Citation]” but, rather, “an actual present controversy must be pleaded specifically and the facts of the respective claims concerning the [underlying] subject must be given.” (*City of Cotati v. Cashman* (2002) 29 Cal.4th 69, 80, quoting 5 Witkin, Cal. Procedure (4th ed. 1997) Pleading, § 819, p. 275, internal quotations omitted, brackets in original.)

Based on the foregoing, **summary judgment is granted.**

The court notes that the reinstatement of the appeal of the court’s October 8, 2025 order granting Defendants Timios, Inc. and Timios Title’s summary judgment motion does not impose a stay on co-Defendant Caliber Home Loans, Inc.’s summary judgment motion as the disposition of causes of action against Caliber involves separate facts and evidence and the disposition against Caliber does not affect the causes of action against Timios, Inc. and Timios Title. (See Code Civ. Proc., § 916, subd. (a); *Varian Medical Systems, Inc. v. Delfino* (2005) 35 Cal.4th 180, 186; *Dowling v. Zimmerman* (2001) 85 Cal.App.4th 1400, 1428.)

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CASE #	CASE NAME	HEARING NAME
CVRI2600663	VASQUEZ VS MERCEDES-BENZ USA	MOTION PURSUANT TO CODE CIV. PROC § 473(B) FOR RELIEF FOR FAILURE TO FILE AN OPPOSITION TO DEFENDANT’S DEMURRER TO COMPLAINT

Tentative Ruling:

The court grants relief pursuant to Code of Civil Procedure section 473, subdivision (b), to allow Plaintiff to file an opposition to Defendant’s demurrer.

A hearing on the demurrer is set for August 26, 2026, at 8:30 a.m.

Plaintiff must file an opposition and accompanying documents within ten (10) days of this order. The proposed opposition and accompanying documents filed on July 23, 2026 does not constitute filing of the requisite opposition and accompanying documents. Therefore, any reply to the opposition must be filed no later than five (5) court days before the hearing, i.e. by August 19, 2026.